



CHAPTER xx.

An Act to change the name and extend the objects of the Legal and General Life Assurance Society and for other purposes. A.D. 1919.
[22nd July 1919.]

WHEREAS prior to the date of the deed of settlement hereinafter recited divers persons engaged in the profession of the law formed themselves into a society or partnership under the name of "The Legal and General Life Assurance Society" (in this Act called "the Society") for the purpose of carrying on the business of life assurance :

And whereas by a deed of settlement dated the 14th day of April 1838 provision was made for the establishment of the Society with a capital of 1,000,000*l.* in 20,000 shares of 50*l.* each and by clause 2 of the said deed of settlement it was provided that the object and business of the Society should be to make or effect assurances on lives and on survivorships and all such other assurances connected with life as might be effected according to law including endowments for widows children and other persons and to grant and sell annuities either for lives or years and on survivorships and either immediate deferred reversionary or contingent :

And whereas by clause 113 of the said deed of settlement provision was made for the formation of two funds the one to be called "the proprietors' fund" and the other to be called "the assurance fund" and by clause 116 of the said deed of settlement provision was made for the periodical declaration of the amount of profits to be set apart out of the said assurance fund and by clause 117 of the said deed of settlement provision was made for the division of the profits so to be set apart as therein mentioned :

A.D. 1919.

And whereas by clause 37 of the said deed of settlement it was provided that two successive extraordinary general meetings specially called for the purpose should have full power to make new laws regulations and provisions for the Society or to amend alter or repeal either wholly or in part all or any of the existing laws regulations and provisions of the Society provided such new amended or altered laws and provisions should have been previously recommended by an extraordinary board of directors and should not extend to amend alter or repeal all or any part of the laws regulations and provisions established and settled by the said deed of settlement for confining the individual responsibility of each proprietor or other holder of shares in the capital of the Society to the amount of the shares held by him or her and by clause 153 of the said deed of settlement it was further provided that it should be lawful for the board of directors at any time or times thereafter at the expense of the Society to apply for and endeavour to obtain one or more Act or Acts of Parliament or one or more charter or charters of incorporation for better enabling them to carry into effect all or any of the objects and purposes of the said deed and under and subject to such rules regulations restrictions and limitations to be made ordained or imposed in and by such Act or Acts of Parliament or charter or charters respectively as the board of directors might from time to time think it prudent or advisable to accept although and notwithstanding some of such rules regulations restrictions and limitations might alter vary or annul or otherwise interfere with any of the rules regulations clauses and agreements therein contained for the conduct and management of the Society:

And whereas the whole of the 20,000 shares of 50*l.* each forming the capital of the Society were duly subscribed for and allotted and the sum of 8*l.* has been paid up or is treated and considered as paid up on each such share:

And whereas by the Legal and General Life Assurance Society's Act 1878 (in this Act referred to as "the Act of 1878") provision was made for the Society suing and being sued in the name of a public officer and for the appointment by the directors of the Society of "estate trustees" and "general trustees" of the Society and the enrolment of successive memorials of their names in the Chancery Division of the High Court of Justice and also for the vesting (with certain

exceptions) of all the estates property and effects real personal . A.D. 1919.
and mixed from time to time held upon trust for the Society
in the persons who should from time to time appear by the
memorials so successively enrolled to be the "estate trustees"
of the Society :

And whereas clause 117 of the said deed of settlement was
subsequently varied and altered under the power contained in
clause 37 thereof and ultimately by two successive extraordinary
general meetings of the Society specially called for the purpose
and held on the 6th and 13th days of May 1890 certain new
laws and regulations of the Society were duly made by one of
which clause 117 of the said deed of settlement (in the said new
laws and regulations referred to as clause 101) was repealed
and a clause was substituted therefor whereby it was pro-
vided that the profits to be set apart periodically out of the
said assurance fund should be divided into ten equal parts of
which one was to be taken out of the said assurance fund
and appropriated as a bonus to the proprietors fund and the
remaining nine were to be appropriated to those life policies
issued by the Society in respect of which the premiums pay-
able should be calculated for persons desirous of participating in
the profits of the said assurance fund and which should then be
in force and to be apportioned as a reversionary bonus to each
of the said policies in such manner and in such sums as the
board of directors should consider fair and equitable such rever-
sionary bonus to be paid at the time when the sum assured
by such policies should become payable but so that the sum so
apportioned should if the board of directors should think proper
be contingent on the completion of the first five years or any
other period in the duration of the policy and that any
commutation of such bonus should not take effect until such
completion :

And whereas by the Legal and General Life Assurance
Society's Act 1895 (in this Act referred to as "the Act of
1895") the objects of the Society were extended so as to
include in addition to the business mentioned in clause 2 of
the said deed of settlement the other businesses and purposes
mentioned in the Act of 1895 and certain provisions were made
for the event of the Society being registered and incorporated
under the Companies Acts 1862 to 1890 or any Acts amending
or extending the same :

A.D. 1919.

And whereas by two successive extraordinary general meetings of the Society specially called for the purpose held on the 1st and 22nd days of July 1902 certain new laws and regulations of the Society were duly made by one of which clause 113 of the said deed of settlement (in the said new laws and regulations referred to as clause 97) was repealed and certain new clauses were substituted therefor whereby provision was made for the formation of three separate funds to be called "the proprietors fund" "the assurance fund" and "the general fund" the proprietors fund to be composed of sums paid by the proprietors in respect of their shares in the capital of the Society and of the additions made thereto from time to time out of the assurance fund and the general fund and otherwise and of the increase thereof by accumulation or otherwise the assurance fund to be composed of the premiums and other sums received in respect of assurances effected with the Society within the meaning of clause 2 of the said deed of settlement or in anywise relating thereto and of the increase thereof by accumulation or otherwise and also of the sums received in respect of the sale of annuities within the meaning of clause 2 aforesaid granted by the Society and of the increase thereof by accumulation or otherwise and the general fund to be composed of the premiums and other moneys received by the Society in respect of assurances contracts and other transactions authorised by the Act of 1895 and not directed to form part of the proprietors fund or the assurance fund and of the increase thereof by accumulation or otherwise and provision was made for the periodical declaration of the amount of the profits to be set apart out of the general fund and for carrying over and adding the same to the proprietors fund:

And whereas the Society is not at the present time carrying on under the said deed of settlement and the Act of 1895 any class of assurance business other than the life assurance business authorised by clause 2 of the said deed of settlement and certain general business authorised by the Act of 1895 and usually carried on or transacted by life assurance companies though not being life assurance business within the meaning of clause 2 aforesaid:

And whereas it is intended that the said assurance fund shall hereafter be distinguished and the same is hereinafter referred to as "the life assurance fund";

And whereas for many years past the amount of profits to be set apart out of the life assurance fund as provided by the laws and regulations of the society for the time being has been declared quinquennially and at the end of each of the last five quinquennial periods the sum apportioned as a reversionary bonus to each of the participating policies of life and endowment assurance issued by the Society has been at the rate of 17. 18s. per centum per annum on the sum assured by such policy and the bonuses previously declared and not taken in cash : A.D. 1919.

And whereas by every participating policy issued by the Society the Society undertake (subject to the special conditions if any contained therein) to pay to the grantee thereof the sum thereby assured together with any bonus which according to the provisions of the deed of settlement of the Society may at the time of payment be attached thereto :

And whereas it is expedient that the rate of bonus heretofore declared by the Society on its participating policies of life and endowment assurance should so far as possible be maintained and that nine-tenth parts of the profits of the other assurance funds of the Society as well as the life assurance fund should be made available for that purpose and that such rate of bonus should be fixed as the maximum to be hereafter attached to such participating policies :

And whereas the several businesses hereinafter specified other than those which the Society is now authorised to carry on under the said deed of settlement and the Act of 1895 can be conveniently and advantageously carried on by the Society together with its existing businesses as independent objects and it is expedient that the Society should have power so to carry on the same :

And whereas it is expedient that the name of the Society should be altered :

And whereas it is also expedient to repeal the Act of 1895 and to re-enact some of its provisions with amendments and also to empower the Society to repeal the laws regulations and provisions of the Society contained in the said deed of settlement as for the time being varied altered extended or added to under the power contained in clause 37 thereof and to make new laws regulations and provisions in lieu thereof :

A.D. 1919.
—

And whereas it is expedient to provide for the continuance and government of the Society in accordance with such new laws regulations and provisions:

And whereas it is expedient to make such other provisions as this Act contains:

And whereas the objects of this Act cannot be attained without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

Short and
collective
titles.

1. This Act may be cited as the Legal and General Assurance Society's Act 1919 the Act of 1878 may be cited as the Legal and General Assurance Society's Act 1878 and the Act of 1878 and this Act may be cited together as the Legal and General Assurance Society's Acts 1878 and 1919.

Interpreta-
tion.

2. In this Act—

The expression "the original deed of settlement" means the said deed of settlement of the fourteenth day of April eighteen hundred and thirty-eight;

The expression "the existing deed of settlement" means the laws regulations and provisions of the Society at the date of such repeal as hereinafter mentioned contained in the original deed of settlement as varied altered extended or added to under the power contained in clause 37 thereof and all laws regulations and provisions made or to be made in exercise of such power and in force at the date of such repeal as aforesaid;

The expression "the Society's regulations" means the laws regulations and provisions for the time being in force for the government of the Society and the management of its affairs;

The expression "member of the Society" means a proprietor of any share or shares in the Society;

The expression "the board" means the board of directors of the Society for the time being;

The expression "the registrar" means the Registrar of A.D. 1919.
Joint Stock Companies;

The expression "company" includes any society société
anonyme or association of persons whether incorporated
or not and whether constituted or formed or intended
to be constituted or formed in the United Kingdom or
abroad.

3.—(1) A resolution of the Society shall be a special Provisions
as to special
resolution.
resolution within the meaning of this Act when it has been
passed by a majority of not less than two-thirds of the votes
of the members of the Society for the time being qualified to
vote present in person or by proxy at an extraordinary general
meeting of which notice specifying the intention to propose the
resolution as a special resolution has been duly given and
confirmed by a like majority of the votes of the members of
the Society for the time being qualified to vote present in
person or by proxy at a subsequent extraordinary general
meeting of which notice has been duly given and held after an
interval of not less than fourteen days nor more than one
month from the date of the first meeting.

(2) At any such meeting as aforesaid the votes of the
members of the Society present and qualified to vote shall be
taken by ballot according to the number of votes to which they
shall be respectively entitled under the Society's regulations.

(3) The Society's regulations with respect to the calling
of extraordinary general meetings and the conduct and adjourn-
ment thereof and the qualification of members of the society
to vote and with respect to proxies and with respect to the
right to demand a ballot to be taken to ascertain the sense of
the members of the Society at large shall apply to every such
meeting as aforesaid and any adjournment thereof.

4.—(1) On and after the passing of this Act the name of Change of
name.
the Society shall be and the same is hereby altered to "The
Legal and General Assurance Society."

(2) The change of name shall not affect any rights or
obligations of the Society or any trustees or trustee of the
Society and any legal proceedings that might have been
commenced by or against the Society by its former name may
be commenced by or against it by its new name.

A.D. 1919.

(3) The Act of 1878 shall be read and interpreted as if throughout that Act where the former name of the Society or any reference to the Society by its former name occurs the new name of the Society or a reference to the Society by its new name were substituted.

Objects of
Society.

5. The objects of the Society shall be and are hereby defined and extended so as to consist of and comprise the following objects and so that for the purposes of interpretation each subsection shall except where the context may otherwise require be read apart from and not be controlled or confined by any other subsection (that is to say):—

- (1) To continue the business of the Society as authorised by clause 2 of the original deed of settlement:
- (2) To carry on and transact every class of business which is now carried on and transacted by life assurance companies and is not authorised by clause 2 of the original deed of settlement:
- (3) To grant or effect assurances of all kinds for the payment of money by way of a single payment or by several payments or by way of immediate or deferred annuities or otherwise upon (i) the marriage or the birth or failure of issue of any person whether in the lifetime of any other person or not (ii) the attainment of a given age by any person whether in the lifetime of any other person or not (iii) any combination of any of the aforesaid contingencies or events (iv) the happening of any other contingency or event which would or might be taken to affect the interest whether vested or contingent and whether in possession reversion remainder expectancy possibility or otherwise of any person in any property or (v) the loss or recovery of contractual or testamentary capacity in any person:
- (4) To contract with leaseholders borrowers lenders annuitants and others for the establishment accumulation provision and payment of sinking funds redemption funds depreciation funds renewal funds and any other special funds either in consideration of a lump sum or of an annual payment or otherwise and generally on such terms and conditions as may be arranged:

- (5) To issue policies securing the payment of any sum of money or of any annuity on the total or partial cessation of any interest in property or of any annuity or other periodical payment: A.D. 1919.
- (6) To purchase and deal in and lend on life and other interests in property of all kinds (whether absolute or contingent and whether in possession reversion remainder expectancy or possibility and whether determinable or not) and annuities and policies of assurance (whether granted or issued by the Society or not) and to acquire lend money on redeem cancel or extinguish by purchase surrender or otherwise any policy security grant or contract issued made or taken over or entered into by the Society or in respect of which the Society may be liable:
- (7) To carry on the business of accident insurance in all its branches and the insurance of employers and masters against liability for accidents to their workmen or servants or others and to grant assurances against sickness or mental or bodily incapacity:
- (8) To insure property of every kind against loss or damage (including loss or damage by disturbance or interruption of trade) directly or indirectly caused or occasioned by fire lightning or explosion however originating or caused and against damage to or destruction of property intentionally caused for the purpose of arresting the progress of any conflagration and generally to carry on the business of fire insurance in all its branches:
- (9) To employ acquire keep and maintain or to join or assist in employing acquiring keeping and maintaining for the prevention and extinguishing of fires and the salvage and protection of property such officers persons engines utensils implements horses carriages and other appliances and things as the Society may think proper with power to become a member of or contribute to any salvage corps or other body having for its object the salvage or protection of property:
- (10) To grant insurances against loss of or accident injury or damage to aircraft of every description and

A.D. 1919.

property conveyed by aircraft and against loss damage or injury to property directly or indirectly caused by aircraft and generally to carry on the business of aviation insurance and underwriters of aviation risks of every kind and any future developments of such business:

- (11) To grant insurances against loss of or damage or injury to property by burglary larceny or theft or by accident or wilful damage or while in transit by any mode of conveyance or by sprinkler leakages or by the use or employment of electricity or electrical apparatus and to carry on the business of plate glass boiler and engine insurance and to insure against loss or damage occasioned by or arising out of the breakdown of machinery of all kinds and to grant insurances of all kinds against loss or liability in connexion with the ownership occupation or management of property:
- (12) To insure property of every kind against loss or damage (including loss or damage by disturbance or interruption of trade) directly or indirectly caused or occasioned by volcanic eruptions earthquake or subsidence or by floods hail hurricanes storms or other phenomena of nature:
- (13) To insure horses cattle sheep and live stock of all kinds against disease sickness accident or death:
- (14) To become surety by bond or otherwise for the acts or defaults of any person or class of persons in any employment or holding any position of trust or confidence and to guarantee the due performance by any person of any contract for the execution of work or the supply of anything or the performance of any obligation and to indemnify or guarantee principals and employers against injury loss or damage arising from the acts or defaults of agents servants workmen or others in their employment or acting on their behalf whether such liability arises under Act of Parliament or otherwise and to enter into Admiralty bail bonds and generally to carry on all matters of business which may be transacted by fidelity assurance companies:

- (15) To grant insurances against loss arising from the A.D. 1919.
miscarriage or loss of or injury to title deeds or
instruments documents and securities in transit or
otherwise :
- (16) To guarantee the payment of money secured by or
payable under or in respect of bonds debentures
debenture stock mortgages charges obligations and
securities of any company or of any authority supreme
municipal local or otherwise or of any persons whom-
soever and to guarantee manufacturers and others
against loss by bad debts and to guarantee any
person against loss of income or profits however
arising :
- (17) To guarantee the validity of titles and instruments
of title and other instruments :
- (18) To re-assure with any company or individual any risks
undertaken by the Society and to issue policies of
re-assurance and to enter into re-assurance contracts
upon any terms and whether or not binding the Society
for any fixed term to accept without investigation
any part of risks undertaken by any company or
individual being of such a nature as the Society
may be authorised to insure against and generally
to undertake all kinds of re-insurance and counter-
insurance connected with any of the classes of insur-
ance business hereinbefore mentioned :
- (19) To pay satisfy or compromise any claims made against
the Society in respect of any policies or contracts
granted by dealt in or entered into by the Society
which claims the Society may deem it expedient
to pay satisfy or compromise notwithstanding that
the same may not be valid in law :
- (20) To act as trustee or executor with or without remune-
ration and to undertake the conduct of any business
connected with trusts or the estates of deceased
persons and to act as the agent for the issue of
any bills bonds debentures debenture stock stock or
shares whether or not offered to the public for
subscription and to guarantee or underwrite the sub-
scription of any such securities stock or shares an
to undertake all kinds of agency business :

A.D. 1919.

- (21) To receive for safe custody deeds securities or other documents or money or any personal chattels with or without undertaking liability for any loss thereof or injury thereto :
- (22) To nominate any person including any officer of the Society to accept the office of trustee of any property in which the Society is for the time being interested and to indemnify any such person against any liability incurred by him in the execution of the trusts affecting such property :
- (23) To sell the whole or any part or branch of the business property and undertaking of the Society :
- (24) To promote any company or companies for the purpose of acquiring any part or branch of the business property and undertaking of the Society or all or any of the rights and liabilities of the Society or for carrying on any business which the Society is authorised to carry on including in particular the purpose of undertaking trusts and the administration of the estates of deceased persons and to hold stock or securities of or shares or other interests in any such company and to dispose of the same :
- (25) To accept as the consideration for the sale of the whole or any part or branch of the business property and undertaking of the Society or for any services rendered the stock or obligations or securities of or any shares or other interests in any company :
- (26) To purchase or acquire or contract for carrying on or administering the whole or any part or branch of the business property and undertaking of any company or individual carrying on any business which the Society is authorised to carry on and in connexion with any such purchase to take over all or any of the liabilities of such company or individual :
- (27) To invest the funds of the Society in any way it may think fit and to acquire and hold any real or personal property either for facilitating the carrying on of any business of the Society or as an investment of its funds and to deal with and dispose of the same :

- (28) To manage sell improve develop exchange enfranchise partition lease mortgage or otherwise deal with or dispose of or turn to account any real or personal property for the time being belonging to or held by or in trust for the Society : A.D. 1919. —
- (29) To borrow money and to issue bonds debentures debenture stock or other obligations whether perpetual or redeemable payable to bearer or otherwise and for the purpose of securing borrowed money and interest thereon or for securing any obligations issued by the Society or for any other purpose of the Society to mortgage or charge the whole or any part of its assets present or to be acquired and its undertaking :
- (30) To appropriate and pay or distribute to or among the holders of policies of the Society or other persons with whom it may have dealings or any class or classes of such persons any part of the general profits of the Society or of the profits derived from any one or more of its several businesses and either in cash or by any deferred payment or by the diminution of any premiums or in any other way and by the terms of any policy or prospectus to bind itself to make any such appropriation payment or distribution :
- (31) To carry on any of its businesses by or through a subsidiary company or subsidiary companies and to form or establish any company or companies for the purpose of carrying on any business herein authorised or which may seem conducive to the Society's interests as principal or as agent for the Society and to subscribe for or otherwise acquire hold and deal with any stock or other securities of or shares in subsidise lend money to enter into arrangements with and take part in the management and control of any company so formed or established and to guarantee the due performance of its obligations and to transfer to any such company any part or branch of its business and to blend the receipts of any such subsidiary company with the revenue of the Society from other sources :
- (32) To amalgamate and to enter into any arrangement for sharing profits union of interests joint adventure

A.D. 1919.

reciprocal concession or co-operation with any company or individual carrying on or engaged in or about to carry on or engage in any business or transaction which the Society is authorised to carry on and to subscribe for or otherwise acquire hold and deal with any stock or securities of or shares in any such company and to subsidise lend money to or otherwise assist any such company or individual and to manage or control or take part in the management or control of the business of any such company or individual and to act as agents or trustees for any such company or individual:

- (33) To contract with any person who may have become entitled to receive any money from the Society under any policy or otherwise for the retainer by the Society of such money upon such terms as to the payment thereof on notice or on demand or by instalments or otherwise with or without interest as may be agreed upon:
- (34) To establish and support or aid in the establishment and support of associations institutions funds trusts and conveniences calculated to benefit servants or ex-servants of the Society or the dependents or connexions of such persons and to grant pensions and allowances and to contribute towards the premiums or sums payable in respect of the life accident or health insurance of any servant of the Society and to subscribe or guarantee money for any charity or benevolent object or for any exhibition or for any public general or useful object:
- (35) To do all or any of the before-mentioned things in any part of the world and either as principals agents trustees contractors or otherwise or by or through agents sub-contractors trustees or otherwise and to obtain any concession in any country state or place abroad and in order to transact business in any country state or place abroad to vest any powers or authorities in any attorney or other agent:
- (36) To procure the Society to be registered or recognised in any country state or place abroad and to make any investments or deposits and to comply with any

A.D. 1919.

conditions necessary or expedient in order to enable the Society to carry on business in any country state or place abroad and to establish or guarantee local companies or branch offices constituted or regulated under or by local laws for the purpose of carrying on any business which the Society is authorised to carry on:

(37) To do all such other things as are incidental or conducive to the attainment of the above objects or any of them:

(38) To apply to Parliament for any extension or alteration of the Society's powers.

6.—(1) Subject to the provisions of this section the Society may at any time and from time to time whether before or after its registration and incorporation under the Companies Acts 1908 to 1917 or any Acts amending or extending the same by special resolution alter extend enlarge restrict or abandon any of the objects specified in section 5 of this Act and adopt any further objects.

Power to
alter objects
with sanc-
tion of court.

(2) The resolution shall not take effect until and except in so far as it is confirmed on petition by the Chancery Division of the High Court of Justice.

(3) Subsections (3) (4) and (5) of section 9 of the Companies (Consolidation) Act 1908 shall have effect as if they were re-enacted in this section with the substitution of "resolution" for "alteration" and of "Society" for "company" and with the addition in clause (b) of subsection (3) after "creditor" of "or policyholder" and in subsection (5) after "creditors" of "and policyholders."

(4) An office copy of the order of the said Court confirming the resolution together with a print of this Act altered in writing so as to show the effect of the order shall within fifteen days from the date thereof or such extended period as the said Court may allow for the purpose be delivered by the Society to the Registrar and he shall on payment of the authorised fees (if any) register the same and shall certify the registration under his hand and the certificate shall be conclusive evidence that all the requirements of this Act with respect to the resolution and the confirmation thereof have been complied with and if the Society makes default in delivering such documents to the Registrar the Society shall be

A.D. 1919. liable to a fine not exceeding ten pounds for every day during which it is in default and every such fine shall be recoverable summarily.

Power to
repeal exist-
ing deed of
settlement
and to make
new regu-
lations.

7. It shall be lawful for the Society at any time by special resolution to repeal the existing deed of settlement and to make new laws regulations and provisions for the government of the Society and the management of its affairs Provided always that such new laws regulations and provisions shall not be inconsistent with the provisions of the Act of 1878 and this Act and shall be subject to repeal alteration and addition in such manner as may be thereby provided but not so as to render the same inconsistent as aforesaid.

Continuance
of Society
notwith-
standing
change of
name or
repeal of
existing
deed of
settlement.

8. Notwithstanding the change of name of the Society or such repeal as aforesaid the Society constituted by the original deed of settlement by the name of the Legal and General Life Assurance Society shall continue to exist by the name of the Legal and General Assurance Society with such constitution objects and powers and subject to such laws regulations and provisions for its government and the management of its business and other matters as are or shall be contained in the Act of 1878 and this Act and in the original deed of settlement as for the time being varied altered extended or added to as aforesaid or in the new laws regulations and provisions to be made as aforesaid as the same may be from time to time lawfully altered or added to and (subject as aforesaid) the members of the Society immediately before the passing of this Act or such repeal as aforesaid as the case may be shall be members of the Society and the board immediately before the passing of this Act or such repeal as aforesaid as the case may be shall continue in office and the Society and any trustee or trustees on its behalf shall hold and be entitled to enjoy and recover all property of every description (including things in action) which immediately before the passing of this Act or such repeal as aforesaid as the case may be belonged to or was vested in the Society or to or in any trustee or trustees on its behalf or to which the Society or any trustee or trustees on its behalf was or were entitled.

Saving for
deeds
actions &c.

9. Notwithstanding the change of name of the Society or such repeal as aforesaid or any other provisions of this Act—

(a) All conveyances leases deeds mortgages bonds contracts agreements securities awards notices and other acts

and things executed entered into given made or done by with in favour of or to the Society or any trustee or trustees of the Society or any person or persons on its behalf and in force at the date of the passing of this Act or at the date of such repeal as aforesaid shall be as valid and effectual to all intents in favour of against and with reference to the Society as if this Act had not been passed or such repeal had not taken effect: A.D. 1919.

- (b) Any action arbitration or other proceeding or cause of proceeding pending or existing at the date of the passing of this Act or at the date of such repeal as aforesaid by with against or in favour of the Society or any trustee or trustees of the Society or any person or persons on its behalf shall not abate or be prejudicially affected by the passing of this Act or by such repeal as aforesaid but on the contrary may be continued or enforced and carried on as if this Act had not been passed or such repeal had not taken effect:
- (c) All books and documents of or concerning the Society which if this Act had not been passed or such repeal had not taken effect would have been admitted in evidence shall be admitted in evidence as if this Act had not been passed or such repeal had not taken effect:

10. The capital of the Society is one million pounds divided into twenty thousand shares of fifty pounds each on each of which the sum of eight pounds has been paid up or is treated and considered as paid up The Society may at any time or from time to time by special resolution increase the capital of the Society by the issue of new shares of any amount and such new shares may be issued with any preferential qualified special or deferred rights or privileges and generally upon any special terms whatever and section 113 of the Stamp Act 1891 shall apply to every increase of the nominal share capital of the Society with this variation namely that the statement of the amount of such increase shall be delivered within one month after the date of the confirmation of the special resolution by which the increase is effected. Capital.

11. All shares in the Society shall be deemed to be personal estate and shall be transmissible accordingly. Shares to be deemed personal estate.

A.D. 1919.

Consent of
Treasury to
raising of
money.

12. Notwithstanding anything in this Act the Society shall not under the powers of this Act raise or borrow any money during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained.

Remunera-
tion of
estate
trustees.

13. The board may from time to time or at any time allow or pay and agree to allow or pay to the estate trustees of the Society or any of them such remuneration or compensation by way of salary fees or otherwise for their or his trouble or services as the board shall think proper Provided that the total sum paid to the estate trustees under this section shall not in any year exceed such maximum amount as the Society may from time to time in general meeting determine.

Property of
Society
vested in
Society if
incorporated
under Com-
panies Acts.

14.—(1) If at any time hereafter the Society shall be registered and incorporated under the Companies Acts 1908 to 1917 or any Acts amending or extending the same then and in such case and immediately upon the same happening all estates property and effects real personal and mixed which are then vested in the estate trustees of the Society and liable to the operation of section 12 of the Act of 1878 shall by force of this Act and without any conveyance or assurance be forthwith transferred to and vested in the Society but subject to all equities (if any) affecting the same respectively Provided always that any particular property may be excepted from the operation of this section by the endorsement prior to the registration aforesaid on a principal document affecting or evidencing the same of a memorandum under the hands of two directors and the actuary and manager or principal officer of the Society to the effect that such property is intended to remain vested in the estate trustees and not to vest in the Society And in the case of any such memorandum the date expressed thereon and the signature thereof purporting to be made by two directors and the actuary and the manager or principal officer of the Society shall be *prima facie* and sufficient evidence of the date when the same was actually signed and of the due qualification of the persons signing or expressed to sign the same.

(2) In place of the stamp duties which would have been payable upon the deeds or instruments which in case this Act had not been passed would have been required to transfer the property vested in the estate trustees of the Society to and vest the same in the Society there shall be paid a stamp duty of

five pounds and such duty shall be impressed upon a copy of this Act and the Society shall produce such stamped copy to the Commissioners of Inland Revenue within three months after the Society shall be registered and incorporated as aforesaid. A.D. 1919.

15. As from and after any such registration and incorporation of the Society as aforesaid section 12 of the Act of 1878 shall only apply to (a) any property excepted from the operation of the last preceding section of this Act as thereby provided and (b) any property which may after such registration and incorporation be transferred to and vested in the estate trustees of the Society as such either by the Society or by some other party or parties Provided always that as regards any of the property in this section mentioned the Society may at any time require the estate trustees to transfer and vest the same by some ordinary mode of assurance to and in the Society and upon such transfer and vesting section 12 of the Act of 1878 shall cease to apply to the property in question unless and until the same shall again be transferred and vested by some ordinary mode of assurance to and in the estate trustees. Operation of section 12 of Act of 1878 subsequent to incorporation of Society.

16. Neither the registration and incorporation of the Society as aforesaid nor the transfer and vesting in the Society of property as in that event hereinbefore provided shall cause any merger of any estate or interest in any property or the release or extinguishment of any right remedy obligation or liability to the prejudice of the Society or of any other party or parties And further if any obligation or debt of or right of action against the Society shall by any deed or instrument become vested in the Society by way of mortgage or security only the same shall not be released or extinguished or become incapable of being enforced but all persons having any interest in or right to enforce the same and the Society shall be entitled to all such interests and rights as they would be entitled to if the same had been vested in a trustee for the Society instead of in the Society. Savings of mergers &c.

17. In the event of the Society being registered and incorporated as aforesaid section 18 of the Companies (Consolidation) Act 1908 shall apply to the Act of 1878 and this Act and the Society's regulations including any special resolution confirmed by the Court under section 6 of this Act and any special resolution increasing the capital of the Society. Application of section 18 of Companies (Consolidation) Act 1908 if Society incorporated under Companies Acts.

A.D. 1919.
As to
bonuses on
participat-
ing policies.

18.—(1) At the end of every bonus period a declaration shall be made of the amount of the profits calculated up to the end of such period to be set apart out of every assurance fund of the Society and the board shall cause such profits to be set apart accordingly and nine-tenth parts thereof shall be profits available for bonuses as hereinafter provided and the remaining one-tenth part thereof shall be carried over and added to the proprietors fund. Provided that if the board shall think fit an interim declaration may at any time or times during any bonus period be made of the profits calculated up to the end of any year ending on the thirty-first day of December of the profits to be set apart out of any such assurance fund and the board shall cause such profits to be set apart accordingly and in any such case nine-tenth parts of the profits so set apart shall be carried to a suspense fund and the remaining one-tenth part thereof shall be carried over and added to the proprietors fund and at the end of such bonus period a final declaration shall be made of the amount of the profits calculated up to the end of such period to be set apart out of every assurance fund in respect of which an interim declaration or interim declarations shall have been made as aforesaid and the board shall cause such profits to be set apart accordingly and nine-tenth parts thereof together with the suspense fund shall be profits available for bonuses as hereinafter provided and the remaining one-tenth part thereof shall be carried over and added to the proprietors fund.

(2) The profits to be set apart as aforesaid out of any assurance fund shall be ascertained and declared in accordance with the Society's regulations (if any) in that behalf with respect to such fund and if there shall be no such regulations then in such manner as the board may determine.

(3) There shall be appropriated to the participating policies which shall be in force at the end of each bonus period the profits then available for bonuses or so much thereof as shall be sufficient to secure to each such participating policy a reversionary bonus equivalent to interest at the rate of one pound eighteen shillings per centum per annum on the sum assured by such policy and the bonuses previously declared in respect of such policy and not taken in cash from the commencement of such bonus period or from the date during such period when such policy was effected as the case may be to the end of such period and the balance (if any) of such profits

shall be carried over and be added to the proprietors' fund A.D. 1919.
The amount appropriated as aforesaid to the participating policies shall be apportioned by way of reversionary bonus between the participating policies the sum so apportioned as a reversionary bonus to each policy to be payable at the time when the sum assured by such policy shall become payable unless previously commuted surrendered or otherwise dealt with Provided always that if on the issue of any participating policy it was one of the conditions on the footing of which it was issued that it should not be entitled to share in profits until after the completion of any period in its duration this subsection shall not apply to such policy until after the completion of such period and nothing contained in this subsection shall prejudice or affect any condition made or to be made on the issue of any participating policy that any sum apportioned thereto as a reversionary bonus should be contingent on the completion of any period in the duration of such policy or that bonuses should be applied in the gradual extinction of premiums or in any other manner.

(4) The board may pay any sum of money which they may think fair and equitable as an interim bonus on any participating policy which may become a claim during any bonus period and any such sum with compound interest thereon to the end of such period with half-yearly rests at the rate of four per centum per annum shall be brought into account as part of the profits available for bonuses.

(5) If and when there shall be no participating policies in force the whole of the profits of all the assurance funds of the Society shall when so set apart as aforesaid be carried over and added to the proprietors' fund.

(6) In this section—

The expression "bonus period" means a period at the expiration of which bonuses are to be declared on the participating policies After the expiration on the thirty-first day of December nineteen hundred and twenty-one of the quinquennial period current at the passing of this Act bonus periods shall be successive periods of not exceeding five years each as the board may from time to time determine but unless and until the board otherwise determine shall continue to be quinquennial periods;

A.D. 1919.

The expression "assurance fund" includes the life assurance fund the general fund and any other fund or funds which after the passing of this Act may be formed pursuant to the Assurance Companies Act 1909 or any Act amending or extending the same or otherwise in respect of any assurance business or class of assurance business for the time being carried on by the Society but shall not include the proprietors' fund;

The expression "participating policy" means a life survivorship or endowment policy issued or to be issued by the Society in respect of which the premiums payable were or are at the date of issue those for the time being calculated for persons desirous of participating in profits.

(7) This section shall have effect notwithstanding anything contained in any participating policy or anything contained in the original deed of settlement as varied altered extended or added to as aforesaid with respect to participating policies.

Saving for
existing
policy-
holders.

19. Except as provided by the last preceding section nothing herein contained or hereby authorised shall in any way prejudice or affect the security rights or remedies of the owners of any existing policies of the Society.

Repeal of
Act of 1895.

20. The Act of 1895 is hereby repealed without prejudice to anything done or suffered thereunder.

Saving for
general
Acts.

21. Nothing in this Act shall be deemed to prevent the application to the Society of the Assurance Companies Act 1909 or any Act amending or extending the same.

Costs of
Act

22. All costs charges and expenses of and incident to the preparing applying for obtaining and passing of this Act or otherwise incurred in relation thereto shall be paid out of the proprietors' fund.

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